



Valuation Project: Deckers Outdoor Corporation

This presentation outlines our comprehensive valuation of Deckers Outdoor Corporation, focusing on its financial health, growth prospects, and intrinsic value. We'll present our investment recommendation based on a detailed DCF analysis, highlighting key assumptions and sensitivity insights.

Initiating Coverage: Deckers Outdoor (DECK) - BUY

Company Overview

Deckers Outdoor Corporation (NYSE: DECK) is currently trading at **\$103.74**.

Our Recommendation

We initiate coverage with a **BUY** recommendation.

Valuation Insights: Perpetuity Growth

Our perpetuity growth model indicates a target price of **\$191.59**, representing an **+88% upside** from the current price.

Valuation Insights: Exit Multiple

The exit multiple approach yields a target price of **\$76.74**, suggesting a **-25% downside**.

Investment Thesis: Strong FCF Growth

Deckers is positioned for robust Free Cash Flow growth driven by sustained revenue expansion, margin improvements, and leadership in premium footwear.

Investment Thesis: Significant Undervaluation

Our DCF analysis indicates substantial undervaluation, with an approximate 88% upside from the current market price, based on its intrinsic value.

Deckers Outdoor: Business & Financial Projections

Company at a Glance

Deckers Outdoor Corporation designs, markets, and distributes premium footwear, apparel, and accessories under brands like UGG, HOKA, Teva, and Sanuk, leveraging strong wholesale and direct-to-consumer channels.

- **Revenue (TTM):** ~\$3.96B
- **Market Cap:** ~\$26.6B



10-Year FCF Projection Summary

Free Cash Flow is projected to grow significantly from **\$0.75B in 2026** to **\$3.46B by 2035**, underpinned by strong revenue expansion and operational efficiencies.

Major Growth Assumptions

- **Revenue Growth:** Driven by expanding HOKA brand penetration and sustained global demand for UGG.
- **EBITDA Margin Improvement:** Achieved through operational efficiencies and a higher direct-to-consumer (DTC) sales mix.
- **Capital Expenditures:** Maintained consistently as a percentage of revenue to support strategic store expansions and ecommerce platform growth.

WACC & Terminal Value: Our Core Methodology

WACC Calculation – Key Components

Our Weighted Average Cost of Capital (WACC) is calculated as **7.34%**, reflecting a balanced capital structure and market risk.

- **Cost of Equity (Re):** 8.26% (Risk-Free Rate 4.27%, Market Risk Premium 5.5%, Beta 0.99)
- **Cost of Debt (Rd):** 1.25%
- **Capital Structure:** 87.35% Equity, 12.65% Debt
- **Tax Rate:** 21.63%

Terminal Growth Rate & Perpetuity Model

- **Terminal Growth Rate (g):** 5%
- **Terminal Value (Year 10):** \$47.40B
- **Enterprise Value:** \$26.68B
- **Equity Value:** \$28.42B
- **Target Price:** \$191.59

Exit Multiples Approach (EV/EBITDA)

The exit multiple approach provides a more conservative valuation, yielding a lower target price reflective of industry averages.

- **Applied Exit Multiple:** 11.52x
- **Terminal Value (Year 10):** \$12.80B
- **Enterprise Value:** \$9.64B
- **Equity Value:** \$11.38B
- **Target Price:** \$76.74

Comparison of Terminal Value Methods

The **Perpetuity Growth Method** indicates significant undervaluation with ~88% upside, aligned with Deckers' strong long-term growth. The **Exit Multiple Method** implies ~25% downside, demonstrating sensitivity to market assumptions. Our recommendation is anchored on the perpetuity approach, given Deckers' brand momentum.

DCF Results: From Cash Flows to Target Price

1

PV of 10-Year FCFs

Included in Enterprise Value (EV) calculation from our forecast model.

2

PV of Terminal Value

Based on Perpetuity Growth (g = 5%), valued at **\$47.40B**.

3

Total Enterprise Value (EV)

Our calculated Enterprise Value stands at **\$26.68B**.

Enterprise Value to Equity Value Bridge

Step	Amount (Billion \$)
Enterprise Value	\$26.68
Less: Net Debt (Debt – Cash)	–\$1.74 (Net cash position)
Equity Value	\$28.42

Target Price Calculation

- **Equity Value:** \$28.42B
- **Shares Outstanding:** 148.34M
- **Target Price:** \$191.59

Current Price Comparison

- **Current Price:** \$101.89
- **Upside:** +88% based on perpetuity growth

Sensitivity Analysis & Validation: Testing Assumptions

2-Way Sensitivity Analysis (Target Price: WACC vs. Terminal Growth)

WACC ↓ / g →	2.0%	2.5%	3.0%	3.5%	4.0%	4.5%	5.0%
6.8%	\$115.86	\$125.25	\$134.86	\$144.77	\$154.97	\$165.44	\$191.59
7.0%	\$110.89	\$119.35	\$127.98	\$136.89	\$146.06	\$155.49	\$165.18
7.2%	\$106.32	\$113.97	\$121.73	\$129.74	\$138.00	\$146.18	\$154.73
7.4%	\$102.10	\$109.03	\$116.04	\$123.28	\$130.72	\$138.40	\$146.64
7.6%	\$98.18	\$104.49	\$111.20	\$118.13	\$125.31	\$132.70	\$140.32

(Base case: WACC = 7.34%, g = 5% → \$191.59)

Trading Comps Validation

- **Implied EV/EBITDA:** ~11.5x (aligned with industry median)
- **Peer Range:** 10x – 13x (Skechers, Crocs, VF Corp)
- P/E and EBITDA multiples confirm DCF results are reasonable given Deckers’ growth profile.

Key Risks & Sensitivities

- **Primary Risk:** Competitive margin pressure from athletic and casual footwear rivals.
- **Secondary Risk:** Interest rate sensitivity impacting discount rate and consumer discretionary demand.

✔ Confidence Level: High

The sensitivity range supports our upside case, with downside protected by Deckers' strong balance sheet and brand equity.

Investment Recommendation: BUY with Conviction



Key Metric

Sustained double-digit annual FCF growth through 2030.



Key Trigger

Continued market penetration of HOKA in the global running footwear market.

Why BUY Deckers Outdoor (DECK)?

We reaffirm our **BUY** recommendation for Deckers Outdoor Corporation, projecting a significant **~88% upside potential** to our target price of \$191.59. This outlook is strongly supported by Deckers' robust Free Cash Flow growth, undeniable brand strength, and the clear undervaluation indicated by our DCF analysis.

Key Catalysts & Timing

- **Near-Term (6–12 months):** Expect strong holiday season sales, fueled by HOKA's growing momentum and consistent demand for UGG.
- **Medium-Term (1–3 years):** Anticipate significant margin expansion driven by increasing direct-to-consumer sales and ongoing operational efficiencies.

Monitoring Points

- Quarterly FCF trends relative to our projections.
- Gross margin stability amidst competitive pressures.
- Changes in WACC due to macroeconomic interest rate shifts.